Isu Petasys (007660 KS)

3Q26 preview: layering growth drivers

Sun-young Kou
Electronics/Parts
sunyoung.kou@yuantakorea.com

BUY (M)

Target price	W180,000 (M)
Previous target price	W180,000
Current price (Oct 07)	W122,000
Upside potential	48%

Market cap (Wbn)	8,956
Shares outstanding	73,409,219
Avg daily T/O (2M, Wbn)	74
Avg daily volume (2M, shrs)	735,341
52-week high/low (won)	161,400 / 59,200
Foreign ownership (%)	16.26%
Dividend yield (%)	0.19%
Major shareholders	Isu Corp & others

Stock performance

(%)	1M	3M	12M
Absolute	9.0	24.5	58.9
Relative	12.1	40.1	(17.1)
Abs (US$)	9.0	41.9	65.9

3Q26 preview: pricing gains begin to complement capacity expansion

We estimate 3Q26 revenue at W435.6bn (+47.1% YoY, +14.7% QoQ) and OP at W96.3bn (OPM 22.1%), in line with consensus. Despite concerns surrounding diversification of a key customer's TPU designs and raw material procurement issues, MLB demand from major Big Tech clients remains solid. The firm continues to deliver steady earnings growth, supported by the second phase of capacity expansion (3,000m^2 → 8,000m^2). Since late 2Q26, the company has been negotiating price increases with major customers to reflect recent rises in raw material costs, with some of these negotiations reportedly beginning to bear fruit this quarter. Despite unfavorable forex conditions, upside potential from both prices (P) and volume (Q), along with conservative forex guidance, should limit the impact.

Pricing gains to lead, followed by volume growth

We expect the company's growth trajectory to become increasingly pronounced, supported by several catalysts. First, price negotiations have been conducted individually with customers since late 2Q26. Although the magnitude of price hikes and the proportion of volumes subject to the adjustments vary by customer, the overall benefits from higher prices should begin to materialize in earnest in 4Q26. Second, 4Q26 will see a concentration of mass production schedules across multiple products, including TPU accelerators and multi-rack-based switches for a major customer, as well as 800G and 1.6T switches for networking customers. Although diversification of a key customer's TPU designs has weighed on investor sentiment, shipment forecasts continue to be revised up. In particular, the products supplied by Isu Petasys feature higher-end specifications in terms of layer count, CCL grade, and volume, which should be favorable for ASPs. Accordingly, we expect the revenue contribution from multi-lamination products to increase from the current low-to-mid-teen percentage range to 30% by end-2026, 50% in 1Q27, and 60-70% in 2H27. Third, the company is set to benefit from additional capacity expansion in 1Q27, when the first phase of investment in Plant 6 is scheduled for completion (8,000m^2 → 13,000m^2). We therefore believe the firm has ample quarterly growth drivers, ranging from pricing gains to volume expansion.

Maintain BUY and target price of W180,000

The company is well positioned to deliver quarterly growth on both the pricing (P) and volume (Q) fronts, supported by aggressive capacity expansion amid robust demand, price increases, and ASP improvements driven by a better multi-lamination product mix. We believe investors should pay attention to the increasingly visible earnings growth trajectory. We maintain BUY and target price of W180,000.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	436	47.1	14.7	430	1.3
OP	96	64.7	24.9	96	0.2
Pre-tax net profit	95	57.3	23.3	94	0.7
Net profit, CI	74	57.7	24.7	76	-2.3
OPM (%)	22.1	+2.4 %pt	+1.8 %pt	22.3	-0.2 %pt
NPM (%)	17.1	+1.2 %pt	+1.4 %pt	17.7	-0.6 %pt

Note: CI = controlling interest

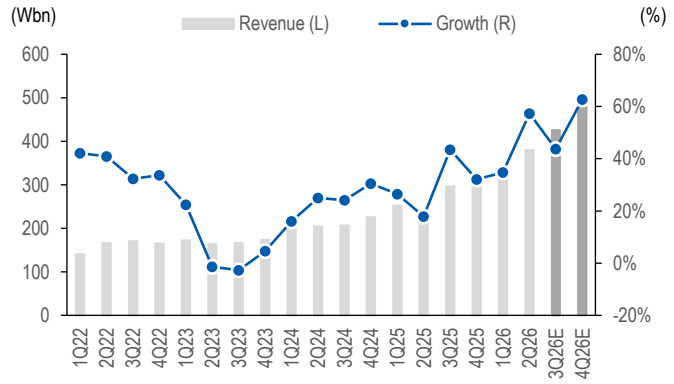
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	837	1,088	1,645	2,344
OP	102	205	349	523
Net profit, CI	74	160	269	407
P/E (x)	33.1	28.2	33.3	22.0
P/B (x)	7.5	6.2	8.7	6.3
EV/EBITDA (x)	20.4	19.1	22.4	14.6
ROE (%)	24.9	29.6	30.2	33.2

Source: Yuanta Securities

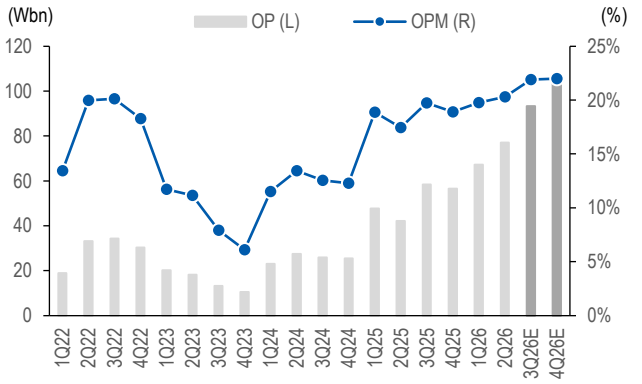
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Isu Petasys: consolidated revenue and YoY growth



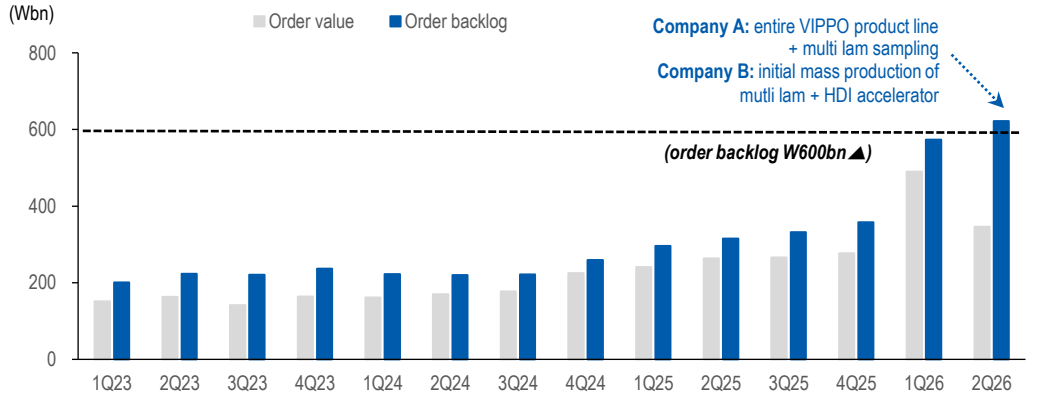
Source: company data, Yuanta Securities

Isu Petasys: consolidated OP and OPM



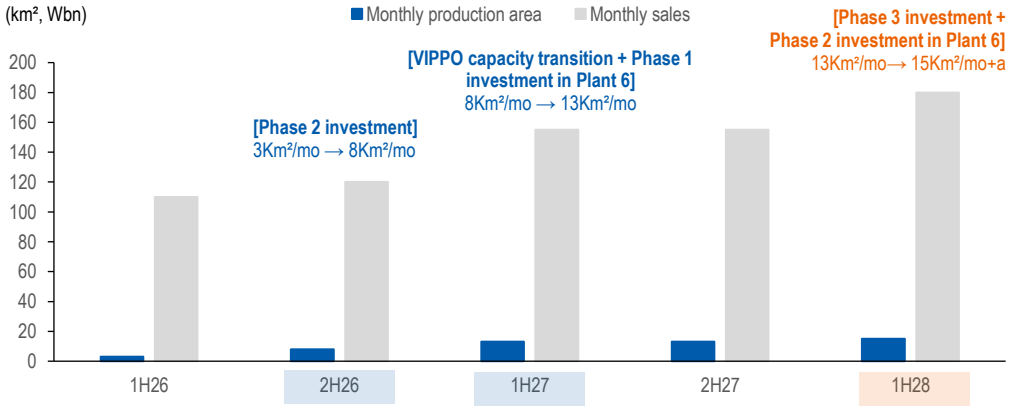
Source: company data, Yuanta Securities

Isu Petasys: order value and order backlog



Source: company data, Yuanta Securities

Isu Petasys: multi-lamination capacity expansion timeline – based on monthly production area and sales



Source: company data, Yuanta Securities

Isu Petasys: earnings forecast revision

(Wbn)	3Q26E			2026E			2027E		
	New	Old	Diff.	New	Old	Diff.	New	Old	Diff.
Revenue	**436**	**426**	**9.8**	**1,645**	**1,632**	**13.3**	**2,344**	**2,327**	**16.6**
Petasys	366	356	9.8	1,365	1,352	13.3	2,021	2,005	16.6
Hunan, China	86	86	0.0	341	341	0.0	378	378	0.0
US	8	8	0.0	30	30	0.0	36	36	0.0
OP	**96**	**93**	**3.0**	**349**	**345**	**4.3**	**523**	**519**	**4.2**
OPM (%)	**22.1%**	**21.9%**	**+0.2%p**	**21.2%**	**21.1%**	**+0.1%p**	**22.3%**	**22.3%**	**+0.0%p**

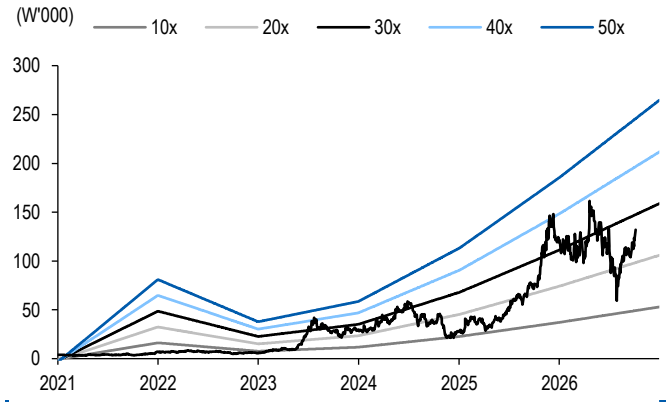
Source: Yuanta Securities

Isu Petasys: target price calculation

	Value	Note
EPS (won)	5,549	**2027E EPS**
Target P/E (x)	**32.4**	**10% premium to 12-mo-fwd P/E peak seen in 2023**
Target price (won)	**180,000**	**EPS x target P/E**
Current price (won)	122,000	
Upside (%)	48%	

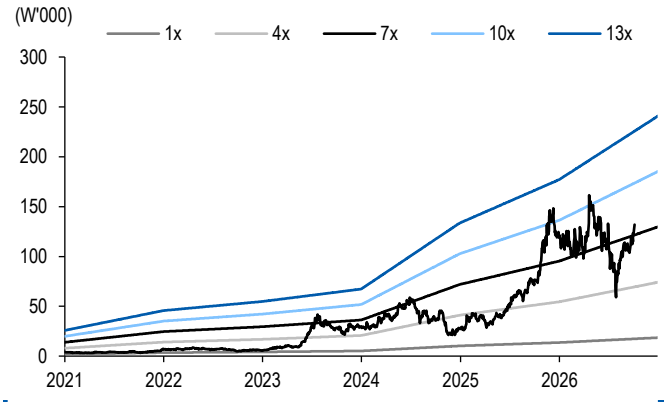
Note: as of Oct 7, 2026; Source: Yuanta Securities

Isu Petasys: 12-month-forward P/E band



Source: Yuanta Securities

Isu Petasys: 12-month-forward P/B band



Source: Yuanta Securities

Isu Petasys: quarterly earnings trend and forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Revenue	**252.5**	**241.4**	**296.1**	**298.8**	**340.3**	**379.9**	**435.6**	**489.7**	**1,088.8**	**1,645.5**	**2,343.6**
Growth (% YoY)	26.5%	17.9%	43.5%	32.1%	34.8%	57.4%	47.1%	63.9%	30.1%	51.1%	42.4%
Growth (% QoQ)	11.7%	-4.4%	22.7%	0.9%	13.9%	11.6%	14.7%	12.4%	-	-	-
Petasys	209.6	209.7	258.3	252.1	276.3	308.2	366.1	414.9	929.7	1,365.4	2,021.2
Hunan, China	53.8	50.0	58.5	65.6	78.8	86.7	85.5	90.0	227.9	341.0	378.3
US	5.4	5.3	5.9	6.3	6.5	7.5	7.9	8.1	22.9	29.9	36.3
OP	**47.7**	**42.1**	**58.4**	**56.5**	**67.2**	**77.1**	**96.3**	**108.2**	**204.7**	**348.8**	**522.7**
Growth (% YoY)	107.4%	53.1%	125.5%	121.5%	40.9%	83.1%	64.7%	91.6%	100.9%	70.4%	49.9%
Growth (% QoQ)	87.0%	-11.7%	38.8%	-3.3%	19.0%	14.7%	24.9%	12.4%	-	-	-
Petasys	33.4	31.8	44.1	42.8	45.9	54.9	70.3	80.1	152.1	251.2	410.0
Hunan, China	11.3	7.0	10.5	11.0	17.1	16.9	21.2	22.7	39.8	77.9	89.6
US	2.9	3.2	3.8	4.0	4.2	5.0	4.8	5.4	13.9	19.4	23.1
OPM (%)	**18.9%**	**17.4%**	**19.7%**	**18.9%**	**19.7%**	**20.3%**	**22.1%**	**22.1%**	**18.8%**	**21.2%**	**22.3%**
Petasys	15.9%	15.2%	17.1%	17.0%	16.6%	17.8%	19.2%	19.3%	16.4%	18.4%	20.3%
Hunan, China	21.0%	14.0%	17.9%	16.8%	21.7%	19.5%	24.8%	25.3%	17.5%	22.8%	23.7%
US	53.7%	60.4%	64.4%	63.5%	64.6%	66.7%	61.1%	67.1%	60.7%	64.9%	63.5%

Source: Yuanta Securities

Isu Petasys (007660 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**837**	**1,088**	**1,645**	**2,344**	**2,906**
Cost of sales	680	806	1,211	1,699	2,121
Gross profit	157	282	434	644	785
SG&A	55	78	85	122	145
Operating profit	**102**	**205**	**349**	**523**	**639**
EBITDA	126	234	395	594	727
Non-operating profit	-10	-3	-6	-4	1
Forex gains	12	0	9	0	0
Net interest income	-9	-2	0	1	6
Equity-method gains	0	-4	0	5	5
Other	-14	2	-14	-10	-10
Net prof before income tax	92	202	343	519	640
Income tax	18	41	74	112	136
Net profit from continuing ops	74	160	269	407	505
Net profit from discontinued ops	0	0	0	0	0
Net profit	74	160	269	407	505
NP for controlling interest	**74**	**160**	**269**	**407**	**505**
Total comprehensive income	67	157	285	419	517
Total comprehensive income, CI	67	157	285	419	517

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**523**	**863**	**1,188**	**1,690**	**2,251**
Cash & cash equivalents	80	163	258	372	622
Accounts receivables & other	229	214	352	509	625
Inventory	187	299	445	616	764
Non-current assets	267	427	592	706	811
Tangible assets	202	307	436	526	612
Investment in affiliates	2	29	47	69	85
Other investment assets	26	19	25	29	32
Total assets	**790**	**1,290**	**1,780**	**2,397**	**3,063**
Current liabilities	377	416	602	807	967
Accounts payable & other	171	212	348	504	625
ST financial liabilities	151	103	108	108	108
Liquid LT liabilities	23	33	34	34	34
Non-current liabilities	85	117	153	161	168
LT financial liabilities	73	100	129	129	129
Debentures	0	0	0	0	0
Total liabilities	**463**	**533**	**755**	**969**	**1,135**
Equity, controlling interest	328	755	1,025	1,427	1,927
Paid-in capital	63	73	73	73	73
Capital surplus	81	352	352	352	352
Retained earnings	172	326	578	968	1,456
Equity, non-controlling interest	0	1	1	1	1
Total equity	**328**	**756**	**1,025**	**1,428**	**1,928**
Net debt	**176**	**-94**	**-93**	**-257**	**-547**
Total debt	257	245	281	283	284

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**85**	**169**	**331**	**676**	**822**
Net profit	74	160	269	407	505
Depreciation & amortization	24	29	45	70	87
Forex gains	-7	1	-7	0	0
Affiliate investment gains	0	4	0	-5	-5
Increase in net working cap	-48	-77	-16	152	184
Other	42	52	40	51	51
Investing cash flow	**-63**	**-347**	**-131**	**-224**	**-220**
Investment	-1	-31	-25	-26	-20
Increase in tangible assets	-60	-153	-179	-160	-173
Decrease in tangible assets	14	0	0	0	0
Other	-16	-163	73	-39	-27
Financing cash flow	**3**	**262**	**11**	**-15**	**-15**
ST financial liabilities	14	-52	7	2	2
Debenture/LT financial liabilities	13	40	29	0	0
Equity	0	281	0	0	0
Cash dividend	-6	-9	-17	-17	-17
Other cash flow	-18	3	-8	0	0
Consolidation adj and other	7	-2	-115	-323	-336
Increase in cash & equivalents	**32**	**82**	**95**	**114**	**251**
Beginning cash & equivalents	48	80	163	258	372
Ending cash & equivalents	80	163	258	372	622
NOPLAT	102	205	**349**	**523**	**639**
FCF	**25**	**15**	**152**	**516**	**649**

Valuation

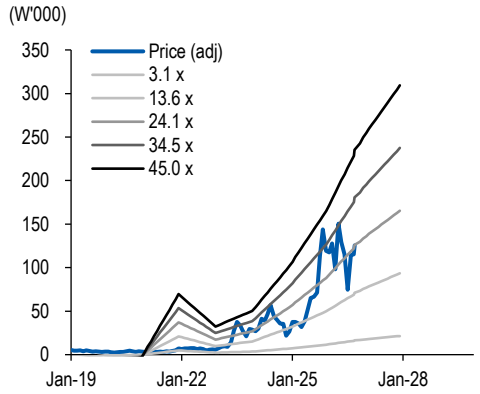
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	1,116	2,257	3,663	5,549	6,876
BPS (won)	4,938	10,292	13,960	19,442	26,251
EBITDA/shr (won)	1,903	3,296	5,384	8,092	9,908
SPS (won)	12,617	15,299	22,415	31,925	39,588
DPS (won)	143	230	230	230	230
P/E (x)	**33.1**	**28.2**	**33.3**	**22.0**	**17.7**
P/B (x)	**7.5**	**6.2**	**8.7**	**6.3**	**4.6**
EV/EBITDA (x)	**20.4**	**19.1**	**22.4**	**14.6**	**11.6**
P/S (x)	**2.9**	**4.2**	**5.4**	**3.8**	**3.1**

Key financial data

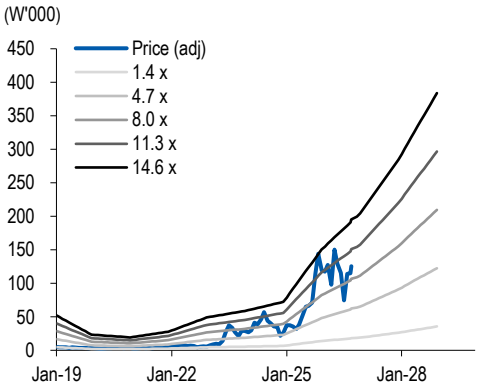
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**23.9**	**30.0**	**51.2**	**42.4**	**24.0**
Operating profit (%YoY)	**63.9**	**100.9**	**70.4**	**49.9**	**22.3**
Net profit, CI (%YoY)	**55.1**	**116.8**	**67.6**	**51.5**	**23.9**
Gross margin (%)	18.7	25.9	26.4	27.5	27.0
Operating margin (%)	**12.2**	**18.8**	**21.2**	**22.3**	**22.0**
Net margin, CI (%)	8.8	14.7	16.3	17.4	17.4
EBITDA margin (%)	15.1	21.5	24.0	25.3	25.0
ROIC (%)	19.1	32.1	39.4	45.0	45.0
ROA (%)	10.5	15.4	17.5	19.5	18.5
ROE (%)	**24.9**	**29.6**	**30.2**	**33.2**	**30.1**
Debt-to-equity (%)	141.2	70.5	73.6	67.8	58.9
Net debt-to-equity (%)	53.7	-12.5	-9.1	-18.0	-28.4
OP/financing cost (x)	8.7	24.6	44.4	63.2	76.8

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

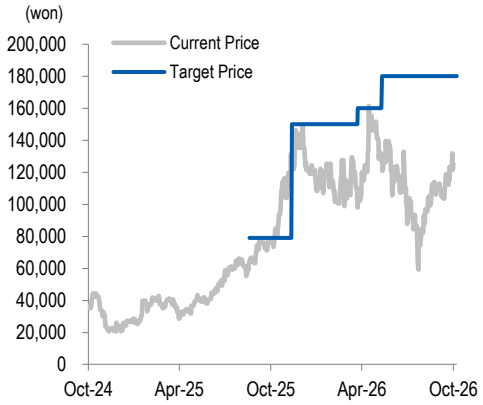
P/E band chart



P/B band chart



Isu Petasys (007660 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/08	BUY	180,000	1 yr		
2026/05/18	BUY	180,000	1 yr		
2026/03/31	BUY	160,000	1 yr	-17.90	0.88
2025/11/19	BUY	150,000	1 yr	-19.96	-1.20
2025/08/26	BUY	79,000	1 yr	9.32	66.46
	Analyst changed				
2024/11/29	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 08, 2026

Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

Global disclosures & disclaimers

This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only. It is copyrighted material and may not be reproduced, transmitted, quoted, or distributed in any manner without the prior written consent of Yuanta Securities Korea Co., Ltd.

As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not own 1% or more of the subject company's shares outstanding. As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not have any special interests in the subject company.

The material contained herein was not disclosed by Yuanta Securities Korea Co., Ltd. to any institutional investors or third parties prior to its publication. The analyst (s) of this report or the analyst (s)' spouse does not have any financial interest in the securities of the subject company (ies) mentioned herein, nor financial interest of any nature related to the subject company (ies) (including without limitation, whether it consists of any option, right, warrant, future, long or short position), as of the publication date of this report.

NOTICE TO US INVESTORS: This research report is the product of Yuanta Securities Korea Co., Ltd., which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (US) and are not associated person(s) of any US regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a US broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with US rules or regulations regarding, among other things, communications with a subject company, public appearances, and trading securities held by a research analyst account.

Research reports are intended for distribution only to Major U.S. Institutional Investors as defined by Rule 15a-6(b)(4) of the US Securities and Exchange Act of 1934 (the Exchange Act) and interpretations thereof by the U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a-6(a)(2). If the recipient of this research report is not a Major US Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated, and/or transmitted onward to any US person which is not a Major US Institutional Investor. In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major US Institutional Investors, Yuanta Securities Korea Co., Ltd. has entered into a Strategic Partnership and chaperoning agreement with a U.S. registered broker-dealer: BancTrust Securities USA. Transactions in securities discussed in this research report should be affected through BancTrust Securities USA.

Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)